

³ You can calculate this ratio by hand from a company's annual reports or obtain the data at websites like www.morningstar.com or <http://finance.yahoo.com>.

⁴ For more on what to look for, see the commentary on Chapters 11, 12, and 19. If you are not willing to go to the minimal effort of reading the proxy and making basic comparisons of financial health across five years' worth of annual reports, then you are too defensive to be buying individual stocks at all. Get yourself out of the stock-picking business and into an index fund, where you belong.

*** The Friend-Blume-Crockett research covered January 1960, through June 1968, and compared the performance of more than 100 major mutual funds against the returns on portfolios constructed randomly from more than 500 of the largest stocks listed on the NYSE. The funds in the Friend-Blume-Crockett study did better from 1965 to 1968 than they had in the first half of the measurement period, much as Graham found in his own research (see above, pp. 158 and 229–232). But that improvement did not last. And the thrust of these studies—that mutual funds, on average, underperform the market by a margin roughly equal to their operating expenses and trading costs—has been reconfirmed so many times that anyone who doubts them should found a financial chapter of The Flat Earth Society.**

*** As we discuss in the commentary on Chapter 9, there are several other reasons mutual funds have not been able to outperform the market averages, including the low returns on the funds' cash balances and the high costs of researching and trading stocks. Also, a fund holding 120 companies (a typical number) can trail the S & P 500-stock index if *any* of the other 380 companies in that benchmark turns out to be a great performer. The fewer stocks a fund owns, the more likely it is to miss “the next Microsoft.”**

*** In this section, as he did also on pp. 363–364, Graham is summarizing the Efficient Market Hypothesis. Recent appearances to the contrary, the problem with the stock market today is not that so many financial analysts are idiots, but rather that so many of them are so smart. As more and more smart people search the market for bargains, that very act of searching makes those bargains rarer—and, in a cruel paradox, makes the analysts look as if they lack the intelligence to justify the search. The market's valuation of a given stock is the result of a vast, continuous, real-time operation of collective intelligence. Most of the time, for most stocks, that collective intelligence gets the valuation approximately right. Only rarely does Graham's “Mr. Market” (see Chapter 8) send prices wildly out of whack.**

[†] Graham launched Graham-Newman Corp. in January 1936, and dissolved it when he retired from active money management in 1956; it was the successor to a partnership called the Benjamin Graham Joint Account, which he ran from January 1926, through December 1935.